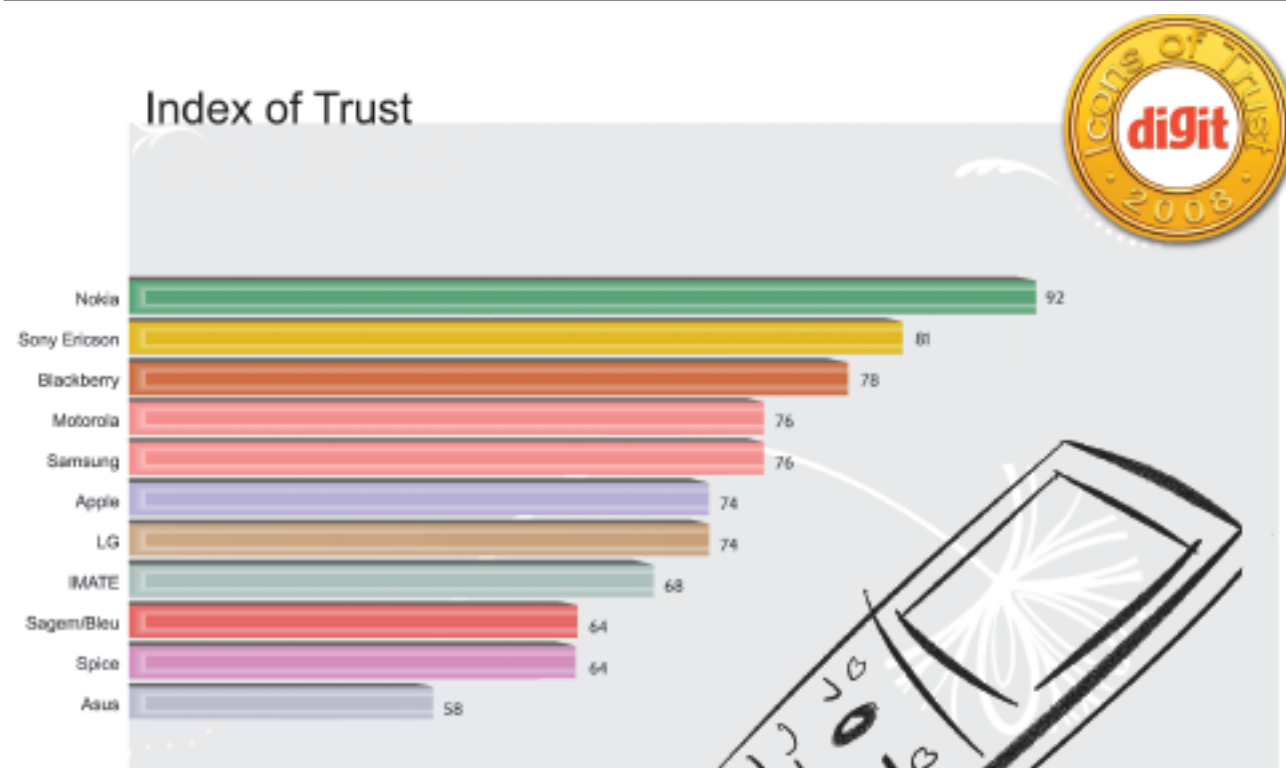




CELL PHONES

Nokia Gets A Ringing Endorsement

As a product category, cell phones have been around long enough for users to feel comfortable buying and using them. Plus, the fact that they are now sold at virtually every street corner, accompanied by high decibel in-your-face advertising, means that awareness of brands and models is high.

So, it is hardly a surprise that an overwhelming majority of the respondents have purchased a mobile for their personal use. In fact, only a few said that they purchased a phone for general household use — a reflection of the fact that prices of handsets and pre-paid services have become extremely affordable.

A large number of respondents (63 per cent) reported that they have been using or owning cell phones for more than a year (in fact, a quarter of them said that they have been using cell phones for over two years).

Index of Trust

The index of trust for the mobile phones category is largely influenced by credibility (50 per cent), followed by satisfaction (23 per cent). Loyalty, awareness and cost of ownership are perceived to have lower influence on overall

trust for this category. While Nokia has the highest Trust Index score (92), brands like Blackberry and Apple have also managed to secure respectable endorsements from users. This is especially commendable, considering the fact they are battling for both mindshare and wallet-share with formidable competition from the trio of Samsung, LG and Motorola.

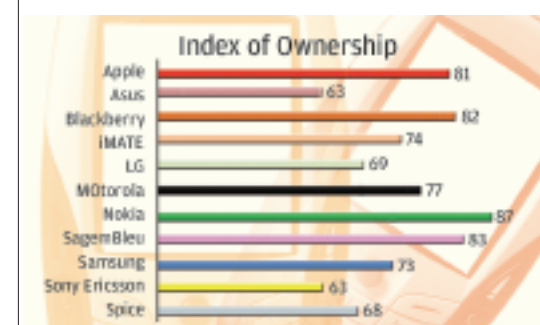
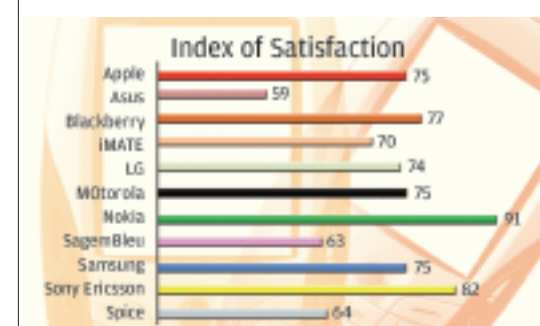
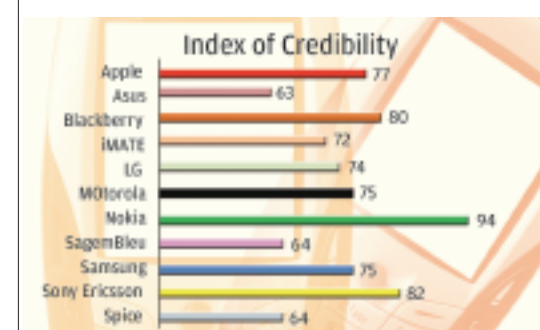
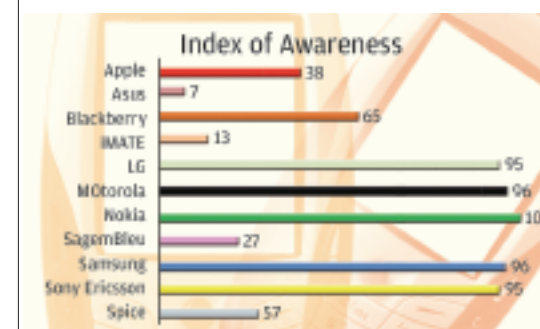
Brand Awareness

Among respondents, Nokia had the highest brand ownership (73 per cent), followed by Motorola and Sony-Ericsson (at 7 per cent each), and LG (at 6 per cent). Surprisingly, Samsung phone ownership among the respondent base was quite low (3 per cent). Top-of-mind awareness for Nokia was the highest (at 78 per cent) — but was very low for the other brands. However, overall awareness for all leading brands increased when respondents were aided.

Brand Credibility

When it comes to credibility, Nokia leads the pack-with Sony-Ericsson just behind. Users largely felt that Nokia was trustworthy, and associated the brand with high quality, ease

As one might expect for the brand owned by most of our respondents, Nokia heads all five categories in our survey.



of use, style and design, technology leadership, and responsiveness to user needs. Samsung, LG and Motorola were perceived to be about equal on many aspects of credibility, including quality, durability, ease of use, and features.

Newer brands like Apple and Blackberry appear to be gaining credibility amongst the respondent base, with Blackberry rated a little higher. This trend could be attributed to recent promotions for the two brands by cell-phone operators — and the launch of new products, particularly the much anticipated iPhone 3G. Brands like Spice, Asus and Sagem/Bleu registered low recognition when compared to other brands.

Brand Satisfaction

On the satisfaction front, Nokia was ranked the highest, followed by Sony-Ericsson. Both these brands were seen to be widely available, with wide range of models, and effective pre- and after-sales support, including query resolution. Many respondents indicated that Nokia phones represented good value for money. Motorola, Samsung and LG were almost evenly matched on the satisfaction front. Both Blackberry and Apple managed to pip some of the popular brands on some components of the satisfaction index — including overall satisfaction.

Brand Loyalty

That brand satisfaction engenders loyalty is no surprise, and this was amply reflected in the response trends. Again, Nokia led the field, followed by Sony-Ericsson, with many respondents indicating that they would talk positively about both brands, recommend them to other buyers, and repurchase products. Blackberry and Apple did reasonably well on the loyalty front too, with many respondents indicating that they would talk positively about Blackberry to others. Once again, on loyalty, Motorola, Samsung and LG were rated about equally. Asus did not do too well.

Ownership Cost

Most respondents (85 per cent) said that they were the sole decision-makers when it came to buying a cell phone-implying perhaps, that personal preferences, brand awareness and prior experience have had a big influence on purchasing behavior.

An overwhelming number of respondents owned Nokia handsets, and many felt that on the pricing there was little difference between Nokia and Sony-Ericsson handsets. Buyers, on an average, spent about Rs. 8,000 on their cell phones-though the spends on Apple and Blackberry were much higher. ☒

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